Introduction to the Chinese Financial System

LECTURE 2 CHINESE ECONOMY AND FINANCIAL SECTORS

China's economy and finance

- The position of China in the world economy
- What happened in the economic reform in 1980s?
- How is the growth of China's economy today?
- Changes in China's financial system
- Outlook of China's financial system

About China

- The land area of China is approximately 9.6 million square kilometers (about 3.7 million square miles), making it the fourth largest country by land area after Russia, Canada, and the United States.
- The population of China is around 1.41 billion people, which is approximately 20% of the world's population. China is the most populous country in the world.
  - India is the 2nd most populous country with a population of over 1.3 billion;
  - the U.S. is the 3rd most populous country with a population of around 332 million.
- The importance of China in the 21st century is reflected in its role as the second largest economy by GDP after the United States.

Member of many important institutions

China is a member of many important institutions:

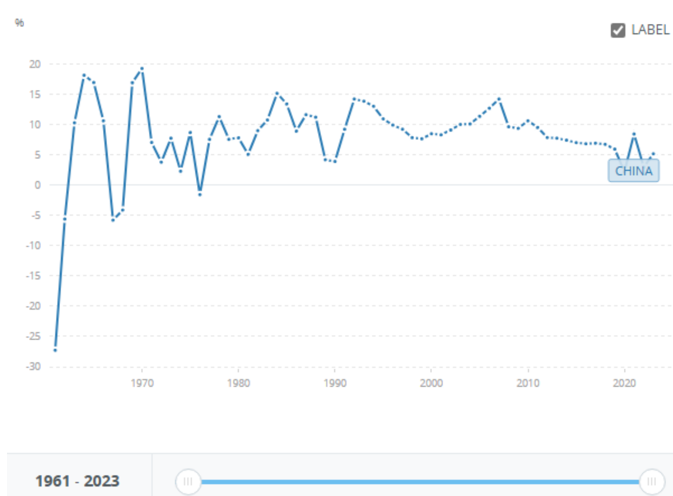
- The United Nations, which has as one of its goals the achievement of international cooperation in economic development.
- The WTO (World Trade Organization), which aims to oversee a number of trade agreements between member states, representing approximately 97% of world trade in goods and services.
- APEC (Asia-Pacific Economic Cooperation), which aims to foster cooperation, economic growth, free trade, and investment in the Asia-Pacific region.
- ASEAN (Association of Southeast Asian Nations), whose main purpose is to promote cooperation and mutual assistance between member states to accelerate economic progress and increase stability in Southeast Asia.
- The G20, which includes the most industrialized countries and aims to encourage international economic development and sustainability.

An incredible growth

Over the past two decades, China has achieved one of the highest growth rates globally.

GDP growth (annual %) - China

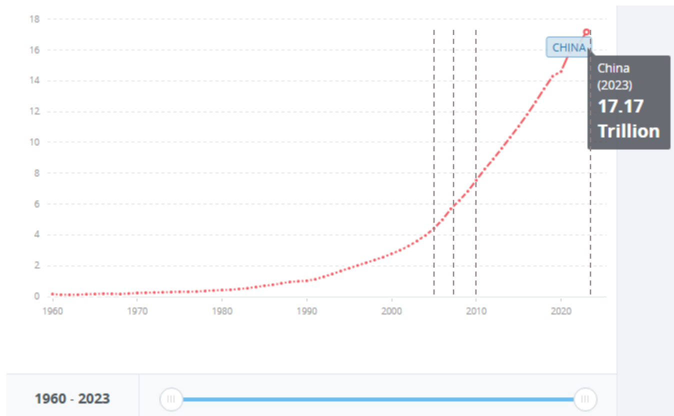
- In the early 1990s, China experienced a remarkable increase in GDP growth, rising from 4% in 1990 to 12.7% in 1994.



Data from World Bank (Data (worldbank.org))

GDP(constant 2015 US$)-China

- In 1960, China's GDP was only $59.7 billions.
- In 2005, China's GDP surpassed that of France
- In 2007, China surpassed Germany in terms of GDP ranking;
- In 2010, China overtaken Japan, became the world's second-largest economy.
- As of 2023, the GDP of China is around $18 trillions, while the United States' GDP is approximately $27 trillions (in nominal terms).



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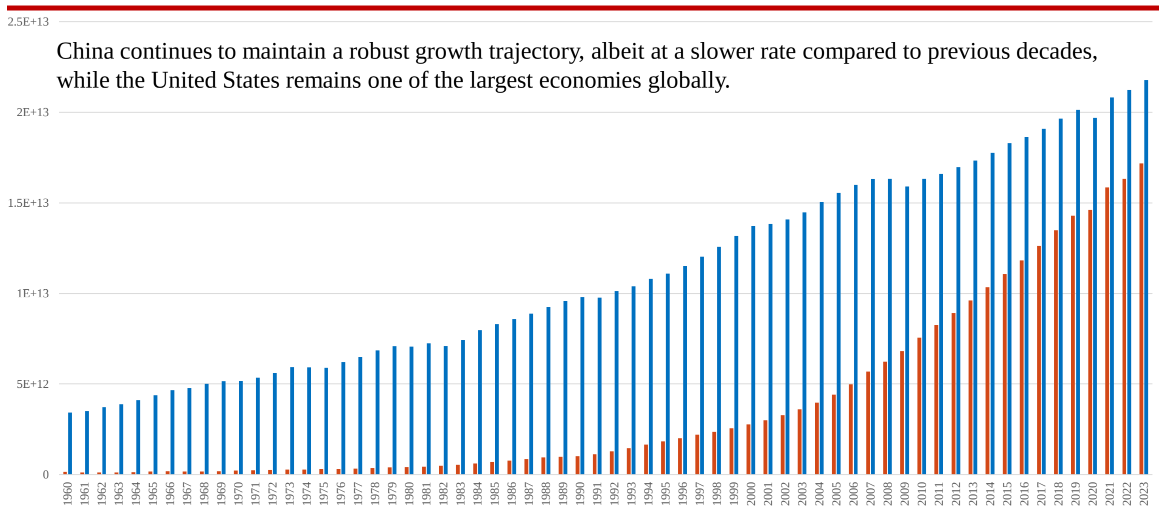
GDP(constant 2015 US$)-China and USA

China continues to maintain a robust growth trajectory, albeit at a slower rate compared to previous decades, while the United States remains one of the largest economies globally.



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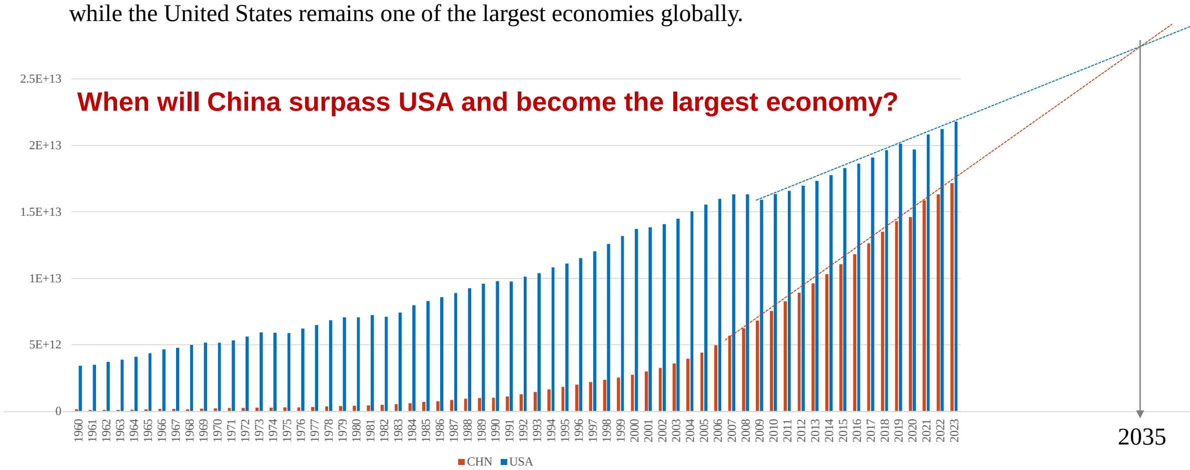

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Changes in China's Structure of Economy

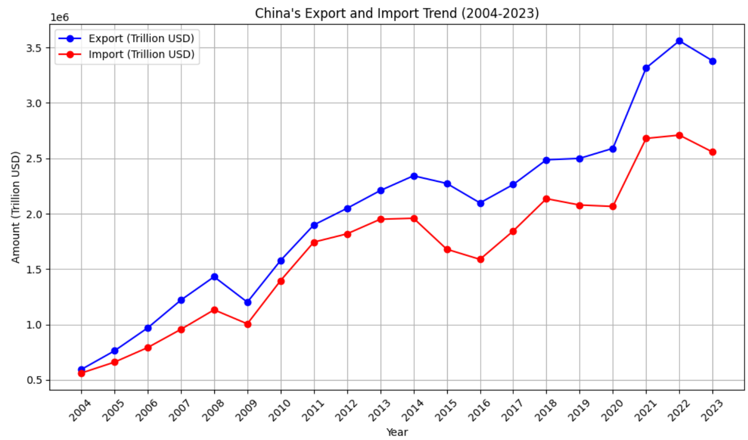
From 2012 to 2022:

- Primary Sector: From 9.1% in 2012 to 7.3% in 2022, indicating a relative decline in the importance of agriculture.
- Secondary Sector: From 45.4% in 2012 to 38.3% in 2022, reflecting efforts to reduce the economy's reliance on heavy industry.
- Tertiary Sector: Rising from 45.5% in 2012 to 54.6% in 2022, highlights a more service-oriented economy, driven by sectors such as finance, technology, retail, and other services.

It shows China's strategic efforts to rebalance its economic structure, promoting sustainable growth through increased emphasis on services and consumption-led expansion.

China's import and export from 2004 to 2023

- China's import and export scale has continuously expanded.
- In 2004 - 2008 before the global financial crisis, with an average annual growth rate of exports exceeding 20% in some years.
- After 2008, due to the impact of the financial crisis, the growth rate fluctuated, and in recent years, it has gradually entered a stage of stable and medium-speed growth.
- By 2023, the total value of imports and exports reached 5.94 trillion US dollars.



Import-export Commodity Structure

- Exports:
  - Traditional labor-intensive products such as textiles and clothing have always been an important part of China's exports.
  - In recent years, high-tech products and mechanical and electrical products have become the main growth points of exports.
    - For example, in 2023, although the overall export of goods decreased by 4.6%, the export of new energy vehicles, lithium-ion batteries, and solar cells reached a combined year-on-year growth of 29.9%.
- Imports:
  - China's imports mainly include energy resources such as crude oil, iron ore, and soybeans, as well as high-tech products and key components such as integrated circuits.
  - The import volume of these products is large, which reflects China's dependence on external resources and advanced technology in the process of economic development.

Import-export Trade Partner Structure

- Traditional Partners:
  - The United States, the European Union, Japan, South Korea, etc. have always been important trading partners of China.
  - In recent years, due to factors such as trade frictions and changes in the international economic situation, the proportion of trade with these traditional partners in China's total trade has fluctuated. For example, in 2023, China's exports to the United States and the European Union decreased by 10.2% and 13.1% respectively.
- Emerging Markets:
  - The proportion of trade with emerging markets in China's total trade has gradually increased.
  - The Association of Southeast Asian Nations (ASEAN) has become China's largest trading partner in recent years. From 2004 to 2023, trade between China and ASEAN grew rapidly, with the trade volume increasing from 876.38 billion yuan to 6.41 trillion yuan, with an average annual growth rate of 11%.

Cumulative Import-Export Volume in 2023

Country (Region)	Volume (100 million yuan)	Cumulative Year-on-Year (%)	Proportion (%)
Association of Southeast Asian Nations	64125.4	0.2	15.4
European Union	55058.8	-1.9	13.2
United States	46726.7	-6.6	11.2
Latin America	34404	6.8	8.2
Japan	22384.7	-5.7	5.4

Regionally, almost half of China's imports originate from East and Southeast Asia. Conversely, about one-fourth of China's exports are directed to the same regions.

What drive China’s high economic growth?

The Economic Reform of China in 1978

- Introduction of Reform Policies (1978): Deng Xiaoping initiated economic reforms, shifting from centrally planned socialism to a market-oriented economy.

- Key measures of reform and opening:
  - 1. Rural Responsibility System Reform
  - 2. Urban State-Owned Enterprise Reform
  - 3. Market Reform (Price Reform)
  - 4. Foreign Opening-up Policies

Rural Responsibility System Reform

- Before Reform:
  - Collective Farming: Since the late 1950s, China implemented collective farming in rural areas where land was collectively owned and farming was managed by communes (公社).
  - Agricultural Collectivization: From 1956 to 1958, the agricultural cooperativization movement established large-scale people's communes, practicing unified procurement and distribution and collective canteen (食堂) systems, reducing productivity and income.
- Reform Content:
  - Household Contract Responsibility System: Started in 1978, implementing the household contract responsibility system, transitioning rural land from collective ownership to household-based management.
  - Contract Farming: Farmers were allocated a certain amount of land to farm independently, with the surplus after meeting state quotas available for personal use.
- Reform Effect:
  - Increased Productivity: Farmers gained incentives through land contracts, leading to significantly improved agricultural productivity and output.
  - Economic Development: Enhanced rural economic vitality, substantially increasing farmers' incomes and improving living standards.

Urban State-Owned Enterprise Reform

- Before Reform:
  - Centralized State Ownership: Urban state-owned enterprises were directly managed by the government, with low operational efficiency and ineffective resource allocation under the planned economy system.
  - Planned Economy: Production and operations of state-owned enterprises were strictly controlled by central planning, lacking competitiveness in the market.
- Reform Content:
  - Economic Responsibility System and Autonomy: Starting from 1978, state-owned enterprises gradually implemented economic responsibility systems, allowing autonomy in decision-making and operations.
  - Introduction of Joint-stock System: In the mid-1980s, explorations into joint-stock reforms were initiated, introducing market mechanisms and transforming some state-owned enterprises into joint-stock companies.
- Reform Effect:
  - Enhanced Competitiveness: State-owned enterprises adapted to market competition, improving production efficiency and economic profitability.
  - Diversified Development: Private enterprises and joint-stock companies flourished, promoting economic restructuring and diversification.

Market Reform (Price Reform)

- Before Reform:
  - Planned Price System: Prices were set by central planning, with limited market influence and pricing mechanisms.
  - Dual-track System: Introduced in the early 1980s, allowing market-regulated prices for surplus products while maintaining planned prices for essential goods.
- Reform Content:
  - Establishment of Market-driven Price System: From the early 1990s, China aimed to establish a market-driven price system, reducing the number of planned price items and enhancing market-oriented price adjustments.
  - Reduction in Planned Prices: By 1993, the number of planned price items decreased significantly, promoting efficient resource allocation and market competitiveness.
- Reform Effect:
  - Improved Resource Allocation: Market-oriented pricing mechanisms improved resource allocation efficiency, fostering healthy economic development and market competitiveness.

Foreign Opening-up Policies

- Before Reform:
  - Relatively Closed Economy: Since the 1950s, China maintained strict controls on foreign trade and investment, limiting economic interactions with the outside world.
- Reform Content:
  - Establishment of Special Economic Zones (SEZs) and Opening Policies: From 1978 onwards, SEZs were established, and in the 1980s, China began implementing open-door policies, attracting foreign investment and technology.
  - WTO Accession: In 2001, China joined the World Trade Organization (WTO), integrating into the global economic system, significantly boosting foreign trade and investment.
- Reform Effect:
  - Increased Foreign Investment: Rapid inflow of foreign investment into China stimulated economic internationalization and modernization efforts.

The Economic Reform: a significant shift

- These reforms have established a "socialist market economy," blending socialist administrative and institutional structures with a market-oriented economic system that encourages free trade and foreign investment.

- After introducing economic reforms based on capitalism in 1978, China rapidly emerged as one of the world's fastest-growing economies.

What drive China's high economic growth?

- Massive labor force:
  - Large population providing abundant, low-cost labor, rural-to-urban migration supplying workers for manufacturing and construction
- High savings and investment rates:
  - One of the world's highest national savings rates, high levels of domestic investment in infrastructure and productive capacity
- Export-oriented growth strategy:
  - Focus on manufacturing and exporting goods, benefiting from globalization and joining the World Trade Organization in 2001
- Rapid urbanization:
  - Massive rural-to-urban migration, creation of new cities and expansion of existing ones, driving construction and infrastructure development
- Government-led infrastructure investment:
  - Investments in transportation, energy, and telecommunications infrastructure, improving connectivity and productivity across the country
- Foreign Direct Investment (FDI):
  - Attracting significant FDI through special economic zones and preferential policies, transfer of technology and management practices
- Human capital development:
  - Investments in education and skills training, improvement in literacy rates and technical expertise
- Technological advancement and innovation:
  - Rapid adoption and adaptation of foreign technologies, increasing focus on research and development in recent years
- Industrial policy and state support:
  - Government support for strategic industries, state-owned enterprise reforms and development of private sector

The Economic Reform: Challenges

- Social and Regional Inequalities:
  - Income Inequality: Widening disparities in income and access to basic services between different regions and socio-economic groups.
  - Regional Disparities: Uneven economic development between coastal/urban areas and inland/rural regions, leading to socio-economic inequalities.

The Economic Reform: Challenges


环球网 国内新闻 > 国内要闻

李克强：中国6亿人月收入1000元，人均年收入3万元

来源：中国政府网

-2020-
05/29
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必看！200秒速看总理答记者问：中国是一个人口众多的发展中国家，我们人均年收入是3万元人民币，但是有6亿人每个月的收入也就1000元，1000元在一个中等城市可能租房都困难，现在又碰到疫情，疫情过后民生为要。就业是最大的民生。没有就业那就是9亿张吃饭的口，有了就业就是9亿双可以创造巨大财富的手。

The Economic Reform: Challenges

- Social and Regional Inequalities:
  - Income Inequality: Widening disparities in income and access to basic services between different regions and socio-economic groups.
  - Regional Disparities: Uneven economic development between coastal/urban areas and inland/rural regions, leading to socio-economic inequalities.
- Environmental Pollution:
  - Rapid industrialization and urbanization resulted in severe environmental degradation, including air and water pollution, soil contamination, and deforestation. This posed serious health risks and ecological damage.
- Corruption:
  - Rapid economic growth also led to corruption, with some officials and businesses exploiting loopholes in regulations for personal gain. Corruption undermined governance, economic efficiency, and social justice.
- Financial Risks:
  - The rapid expansion of credit and investment, coupled with a growing shadow banking sector, raised concerns about financial stability and the potential for a financial crisis.
  - Debt levels among local governments and state-owned enterprises, became a significant concern.

Call for Further Reforms

- Governance and Rule of Law:
  - Enhancing transparency and accountability in government and corporate governance. Strengthening the rule of law to ensure fair and equitable treatment for all businesses and individuals. Promoting anti-corruption measures to improve business environment and public trust. Introducing laws and regulations to protect property rights, and enhance market transparency.
- Technological Innovation and Digital Economy:
  - Promoting research and development in emerging technologies like AI, biotechnology, and advanced manufacturing. Encouraging entrepreneurship and startup culture to foster innovation. Investing in digital infrastructure to support the growth of the digital economy.
- Trade and Investment Liberalization:
  - Continuing to open up markets and reduce barriers to foreign investment. Negotiating fair trade agreements to improve market access and reduce trade disputes.

Call for Further Reforms

- Expansion of Social Welfare and Labor Market Reforms:
  - Introduction and expansion of social welfare programs, including healthcare reform, pension system reforms, and poverty alleviation initiatives to improve social security and reduce income inequality. Reforming the hukou (household registration) system to improve labor mobility. Enhancing labor market flexibility while ensuring worker rights and protections.
- Environmental Protection and Sustainable Development:
  - Focusing on environmental protection and sustainable development, including policies to address pollution, promote clean energy, and enhance environmental regulations.
- Financial Sector Reform:
  - Gradually liberalizing the financial sector by allowing private banks, stock exchanges, and foreign investment. This included reforms in banking regulations, currency management, and the development of capital markets.

CHINA'S FINANCIAL SECTOR

China’s Financial System

Financial Institutions

- Policy banks
- Commercial banks
  - state-owned
  - partially state-owned
  - private-owned and foreign
  - RCC, UCC, Postal Savings
- Non-bank financial institutions
  - Insurance, Trust, Mutual Funds, Finance companies

Financial Markets

- Stock market (SSE, SZSE, BSE)
- Bond market
  - Government bond
  - Corporate bond
- Venture capital / PE
- Real estate
- Foreign sector (FDI)

China’s Financial System

Financial Regulators

- Financial Stability and Development Committee 金融稳定发展委员会 (FSDC)
- People's Bank of China 中国人民银行 (PBOC)
- National Financial Regulatory Administration 国家金融监督管理总局 (NFRA)
  - China Banking and Insurance Regulatory Commission 中国银行保险监督管理委员会 (CBIRC)
- China Securities Regulatory Commission 中国证券监督管理委员会 (CSRC)

Since the reform and opening up policy began in 1978 in China, the country's financial reform has undergone several stages.

Changes in China's financial system

1950~1978: NO financial system

- 1950~1978, the People's Bank of China was the sole bank in China. During the Cultural Revolution, the People's Bank of China was merged into the Ministry of Finance, leaving China without a modern financial system.

1978~1984: financial system restoration

- In December 1978, the People's Bank of China separated from the Ministry of Finance, marking the beginning of modern China's financial system.
- In February 1979, the Agricultural Bank of China was re-established.
- In March 1979, the Bank of China separated from the People's Bank of China to manage foreign exchange operations, with the establishment of the State Administration of Foreign Exchange.
- In October 1979, the first trust and investment company, China International Trust and Investment Corporation, was established.
- In 1980, the first urban credit cooperative was established in Hebei Province.
- In 1983, the Construction Bank of China was re-established.
- Starting from January 1, 1984, the People's Bank of China ceased handling credit operations for enterprises and individuals, becoming pure central bank. Thus, the basic framework of the central banking system was initially established.
- In 1984, the new established Industrial and Commercial Bank of China took over the previous commercial business of PBC.

1978~1984: financial system restoration

- On November 14, 1984, Shanghai Feilo Acoustics Co., Ltd. (上海飞乐音响股份有限公司) publicly issued non-repayable shares, marking the first meaningful stock issuance in China after the reform and opening up, symbolizing the unveiling of China's capital markets.

✓ During this period, the framework of the central banking system was essentially established, major state-owned commercial banks took shape, stocks began to be issued in capital markets, the insurance industry began to recover, and the financial system began to take shape to meet the requirements of the new era of reform and opening up.

1985~1993: comprehensive system construction

- On January 1, 1985, China began to implement a credit and fund management system of "unified planning, fund allocation, real loans, and mutual support," (实贷实存) marking an important step towards modern commercial banking system in China.
- In November 1990, the first stock exchange, the Shanghai Stock Exchange, was established.
- In October 1992, the State Council Securities Commission (referred to as the Securities Commission) and the China Securities Regulatory Commission (**CSRC**) were established, marked the beginning of the formation of a unified regulatory system for China's securities market.
- In December 1993, the State Council clearly defined the functions of the People's Bank of China as central bank and proposed to transform China's specialized banks into true commercial banks. At the same time, banking financial institutions (such as Bank of Communications, China Investment Corporation, and Shenzhen Development Bank) and non-banking financial institutions (China International Trust and Investment Corporation, China Eastern Leasing Limited) were established, and the trust, financing leasing, and fund industries began to emerge.
- ✓ During this period, financial reforms began to move towards legalization, making the financial system more adaptable to market economic needs.

1994~2002: comprehensive supporting reforms

- In 1994, the State Council issued a series of financial reform measures, comprehensively reforming the central banking system, financial macro-control system, financial organizational system, financial market system, and foreign exchange management system. In the same year, a managed floating exchange rate system was formally established.
- In November 1998, the China Insurance Regulatory Commission (CIRC) was established, a significant reform of the insurance regulatory system.
- In May 1999, the Shanghai Futures Exchange was formally established.
- In July 1999, the "Securities Law of the People's Republic of China" was formally implemented, playing a significant role in the development of the capital market.

- ✓ During this period, financial reform continued to deepen, the monetary policy regulation function of the People's Bank of China strengthened, the legal system of banking and securities continued to deepen. The functional systems of the financial system became clearer and more perfect.

2002~2007: financial reform and opening-up

- In December 2001, China joined the World Trade Organization (WTO.
- In the Protocol of Accession to the WTO, the Chinese government committed to
  - gradually eliminate geographical restrictions on foreign banks' RMB business operations, and to eliminate all geographical restrictions within 5 years after joining the WTO;
  - within 2 years, foreign banks were allowed to conduct RMB business for Chinese enterprises, and
  - within 5 years, foreign banks were allowed to provide services to all Chinese clients.
- In April 2003, the China Banking Regulatory Commission (CBRC) was established, forming the pattern of "one central bank and three commissions" in China's financial regulatory system, comprehensively covering the banking, securities, and insurance markets.

- On December 16, 2003, the Central Huijin Investment Company was established, representing the state's rights and obligations in key financial enterprises.
  - Subsequently, the restructuring of state-owned financial institutions started, the four major state-owned commercial banks successively completing their shareholding reforms and listing on the Shanghai and Hong Kong stock exchanges.

2002~2007: financial reform and opening-up

- In terms of financial markets,
  - In December 2002, the "Qualified Foreign Institutional Investors" (QFII) were formally implemented, marking the beginning of the QFII system in China, integrating China's capital markets into the global capital market system.
  - On July 21, 2005, China implemented reforms to RMB exchange rate formation mechanism, adopting a managed floating exchange rate system based on market supply and demand and referencing a basket of currencies.
  - On September 8, 2006, the China Financial Futures Exchange was established in Shanghai, becoming the first financial derivatives exchange in mainland China.

- Summary of Stage Characteristics: Taking the opportunity to comply with the requirements of joining the WTO, through opening up to foreign capital and carrying out internal reforms, all areas of the financial sector were actively adjusted, starting the process of establishing a modern financial system.

2008~2012: Responding to the Financial Crisis

The global financial crisis broke out in 2008

- The Chinese government quickly introduced a 4-trillion-yuan economic stimulus package, with the focus on infrastructure construction, livelihood projects, and other areas. By expanding domestic demand, it offset the adverse impact of the decline in external demand.
- In the financial field, the central bank repeatedly cut the reserve requirement ratio and the benchmark interest rate to increase market liquidity and increase credit support for the real economy.
- Banks and other financial institutions were required to raise their capital adequacy ratios to enhance the ability to withstand risks, to ensure the stable operation and avoid the transmission of systemic risks.

Shanghai Composite Index in 2007-2008

Shanghai Composite Index in 2007-2008

2008~2012: Responding to the Financial Crisis

- Monetary Policy Adjustments:
  - **Interest Rate and Reserve Requirement Reductions**: The People's Bank of China lowered the reserve requirement ratio and benchmark interest rates to increase market liquidity and support credit expansion and economic growth.
  - **Increased Credit Supply**: Commercial banks were encouraged to expand lending to businesses and individuals, particularly supporting small and medium enterprises (SMEs) and infrastructure projects.
- Fiscal Stimulus Plan:
  - In 2008, China launched a 4 trillion yuan economic stimulus plan, focusing on investments in infrastructure, post-disaster reconstruction, and technological innovation to boost domestic demand and counteract the decline in external demand.
- Reform and Support of Financial Institutions:
  - **Capital Adequacy Requirements**: Banks were required to enhance their capital adequacy ratios to strengthen their risk resilience and reduce the vulnerability of the financial system.
  - **Support for Financial Institutions**: The government provided necessary assistance and support to financial institutions experiencing liquidity difficulties or operational challenges to prevent the spread of systemic risk.
- Strengthening Financial Regulation:
  - **Risk Management Mechanisms**: Enhanced risk monitoring and management for banks and other financial institutions were implemented to improve regulatory standards and ensure the soundness of the financial system.
  - **Regulation of Financial Innovation**: Amid the emergence of innovative financial instruments, guidelines and restrictions were imposed to prevent potential financial risks.

2013~2016: Deepening Reform and Financial Innovation

- To further release financial vitality and improve the efficiency of financial services for the real economy, China began to vigorously promote the work of deepening reform and financial innovation.

2013~2016: Deepening Reform and Financial Innovation

- Pilot Financial Reforms in Free Trade Zones (FTZs):
  - **RMB Capital Account Convertibility**: The Shanghai Free Trade Zone (FTZ) initiated trials for the convertibility of the RMB capital account, facilitating cross-border investment and financing, and promoting RMB internationalization.
  - **Free Trade Account System**: The establishment of Free Trade Accounts (FTA) allowed enterprises and financial institutions within the FTZ to achieve free movement of funds and cross-border payment settlements.
- Promoting Financial Market Opening:
  - **Bond Market Liberalization**: Further relaxation of entry restrictions for foreign investors, permitting foreign central banks, sovereign wealth funds, and international financial institutions to participate in China's interbank bond market, enhancing its internationalization.
  - **Securities Market Registration-Based Reform**: Initial efforts to implement a registration-based system in the stock market aimed to increase market orientation and improve resource allocation, refining the IPO process and information disclosure standards.
- Rise of Internet Finance and Financial Technology:
  - **Third-Party Payments and P2P Lending**: The widespread adoption of services like Alipay and WeChat Pay improved convenience in payments and financial services, while P2P lending platforms rapidly expanded, driving growth in small business and personal lending.
  - **Regulatory Challenges**: In response to the rapid growth of internet finance, the government strengthened regulation by issuing guidelines on internet finance to standardize the market.
- Further Improvement of Financial Supervision:
  - **Control of Shadow Banking and Leverage**: Implementation of new regulatory frameworks for asset management businesses to prevent excessive leverage in financial products and ensure capital flows towards the real economy.
  - **Balancing Financial Innovation and Risk Control**: Emphasizing regulatory measures and risk prevention while promoting the innovation of financial products and services.

2013~2016: Deepening Reform and Financial Innovation

- Milestone Events:
  - Establishment of the Shanghai Free Trade Zone (2013): Signified a new phase in China's financial reform, with policies trialed in the FTZ providing valuable experience for nationwide implementation.
  - Launch of the “Belt and Road” Initiative (2013): Though primarily an economic and diplomatic strategy, it also spurred international financial cooperation and cross-border investment and financing innovations.
  - “Internet Plus” Action Plan (2015): Accelerated the development of financial technology and internet finance, promoting collaboration between traditional financial institutions and tech companies.
  - Stock Market Turmoil and Response (2015): Faced with stock market volatility, the government took various measures to stabilize the market and enhanced risk control and information disclosure in the securities market.
- During the 2013-2016 period, China's financial system reforms focused on deepening reform and opening up, promoting innovation while maintaining risk control.

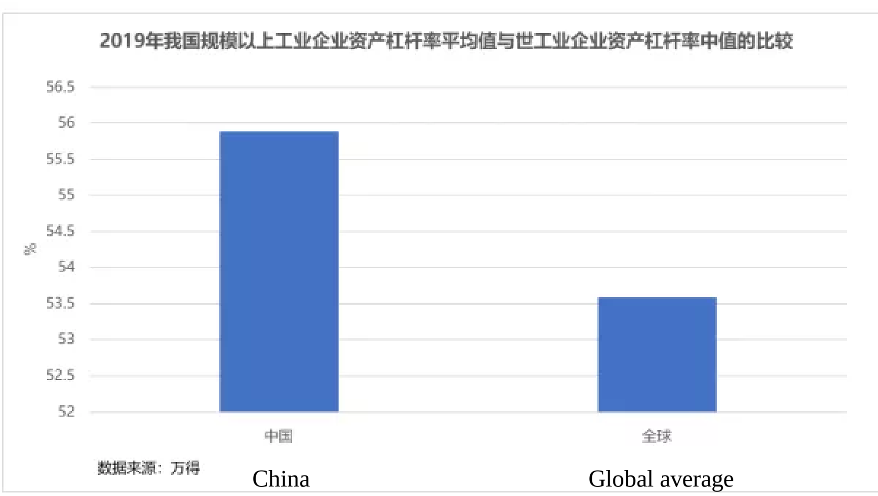
Shanghai Composite Index in 2015

2017~2019: Deleveraging and Controlling Financial Risks

- Background: During the previous economic development process (remember: In 2008, China launched a 4 trillion yuan economic stimulus plan), excessive leveraging occurred in some financial fields. The scale of shadow banking expanded rapidly, financial asset bubbles accumulated to some extent, and potential systemic risks continued to increase.

- In response to this, Regulatory departments introduced a series of policies to implement deleveraging measures.

Leverage ratio of Chinese firms



2017~2019: Deleveraging and Controlling Financial Risks

- Strengthening Financial Regulation:
  - **Establishment of the Financial Stability and Development Committee** under the State Council (2017): This body aimed to enhance the coordinated supervision and policy coordination of the financial system, effectively preventing and mitigating systemic risks.
  - **Asset Management New Regulations** (2018 issuance): Required financial institutions to adhere to strict standards for asset management operations, targeting shadow banking activities and reducing excess leverage and capital idling, thus standardizing the development of the asset management market.
- Deleveraging in the Banking Sector:
  - **Reducing Off-Balance-Sheet Activities**: Stricter oversight and restrictions on off-balance-sheet operations, such as non-standard credit assets, to mitigate potential risks in the banking system.
  - **Increasing Capital Adequacy Ratios**: Encouraged banks to improve their capital adequacy ratios and provision coverage to enhance their risk-bearing capacity and ensure financial soundness.
- Rectifying Financial Irregularities:
  - **Crackdown on Illegal Fundraising and Financial Fraud**: Special actions were implemented to address the risks brought about by the rapid growth of internet finance, including the cleanup of non-compliant P2P lending platforms and other illegal financial activities.
  - **Regulation of Local Government Financing**: Strengthened oversight of local government debt to prevent excessive expansion of hidden debts and promoted the use of special bonds for more transparent and compliant infrastructure financing.
- Mitigating Real Estate Financial Risks:
  - **Policies on Purchase and Loan Restrictions**: Measures such as raising down payment ratios and restricting mortgage lending were introduced to cool down the overheated real estate market and prevent financial institutions from over-concentrating on property lending.
- Enhancing Financial Infrastructure:
  - **Improving Fintech Regulation**: Increased monitoring and regulatory oversight of financial technology innovations, especially in payment, financing, and investment sectors, to balance technological advancements with financial stability.
  - **Enhanced Financial Information Disclosure and Transparency**: Required financial institutions to provide clearer disclosures of financial conditions and risk exposures to improve market transparency.

2017~2019: Deleveraging and Controlling Financial Risks

- Milestone Events:
  - **Establishment of the Financial Stability and Development Committee** (2017): As the core agency for financial regulatory coordination, its formation marked a significant step towards higher-level integration and coordination of financial supervision, focusing on maintaining systemic financial stability.
  - **Issuance of the Asset Management New Regulations** (2018): These regulations were a key policy in the deleveraging process, promoting financial market deleveraging and curbing the unchecked growth of high-risk asset management activities, paving the way for more standardized and transparent industry development.
  - **Cleanup and Rectification of the P2P Lending Industry**: By 2019, numerous non-compliant P2P platforms were closed or exited the market, greatly reducing systemic risks posed by unregulated online financial activities.

2020~Present: Digital Transformation and Green Finance Development

- In the period from 2020 to the present, China's financial system has undergone significant reforms focused on digital transformation and the development of green finance. This stage emphasizes enhancing technological capabilities and promoting sustainable development.

- This period is characterized by the deep integration of fintech and sustainable concepts, showcasing the innovative and transformative trends of the financial system in the new era.

2020~Present: Digital Transformation and Green Finance Development

- Promoting Fintech Innovation:
  - **Strengthening Financial Technology Infrastructure**: Banks, insurance companies, securities firms, and other financial institutions have been encouraged to expand their use of big data, artificial intelligence, blockchain, and other technologies to enhance the intelligence and digitalization of financial services.
  - **Pilot and Promotion of Digital Renminbi**: Starting in 2020, the People's Bank of China initiated pilot programs for the digital renminbi in various cities, aiming to optimize the payment system, improve payment efficiency, and foster a cashless ecosystem through digital currency innovation.
- Accelerating Green Finance System Development:
  - **Policy Support and Guidance**: China issued a series of policy documents, such as the "Green Finance Guidelines" and "Measures to Support Green and Low-Carbon Development," which outline the need for financial institutions to innovate and expand the provision of green credit and green bonds.
  - **Building a Carbon Market**: The establishment of a carbon emissions trading market has been promoted, allowing a functioning carbon pricing mechanism. Financial institutions leverage this to develop green financial products and encourage companies to transition to low-carbon operations.
- Strengthening Regulation and Compliance Requirements:
  - **Compliance and Safety in Fintech**: To balance innovation and risk management, regulatory authorities have enhanced compliance oversight of fintech companies. Policies such as the "Regulations on the Standardization of Internet Platform Economies" was to ensure that technology applications align with financial stability.
  - **Data Protection and Privacy Compliance**: Legislation such as the "Personal Information Protection Law" has been implemented to strengthen the protection of consumer data and ensure that data usage in the financial digitalization process remains compliant and secure.
- Enhancing Financial Inclusion:
  - **Inclusive Finance**: Technological methods have expanded the reach of financial services, using innovations such as mobile payments and microcredit for small and micro enterprises to provide accessible financial services and support rural revitalization and economic development in impoverished areas.
  - **Digital Inclusive Banking and Online Lending Platforms**: The push for financial services to become more online-centric has enabled small and medium-sized enterprises and individuals to access low-cost and convenient financial solutions.

2020~Present: Digital Transformation and Green Finance Development

- Milestone Events:
  - **Rollout of Digital Renminbi Pilot Programs** (from 2020): The digital renminbi project expanded to multiple cities and applications, marking a significant step for China in central bank digital currency (CBDC) innovation.
  - **Launch of the National Carbon Emissions Trading Market** (July 2021): It is one of the world's largest carbon trading platforms, using market mechanisms to promote green transitions.
  - **Proclamation of the "Dual Carbon" Goals and Supportive Financial Policies**: The goals to reach carbon peak by 2030 and carbon neutrality by 2060 prompted financial institutions to enhance green financial product development and increase the issuance of green loans and bonds.
  - **Acceleration of Fintech Applications**: Since 2020, particularly influenced by the COVID-19 pandemic, the demand for online financial services has surged, leading to widespread adoption of smart investment advisory, virtual customer service, and online loan approvals, reflecting significant progress in the financial system's digital transformation.

2020~Present: other aspects

- Development and innovation of the financial market
  - **Continuous improvement of the multi-level capital market**: The registration-based IPO reform in the stock market has continued to advance. The Science and Technology Innovation Board, the ChiNext, and other markets have continued to grow and expand, providing diversified financing channels for enterprises of different types, sizes, and development stages.
- Increased openness
  - **The participation of foreign financial institutions has increased**. By the end of September 2023, 202 banks from 52 countries and regions had established institutions in China. From 2020 to the end of September 2023, foreign banks in China increased their capital injection by a total of 187.3 billion yuan.
  - The channels for overseas institutions to enter China's financial market have been continuously broadened. By the end of September 2023, a total of 1,110 overseas institutions had entered China's bond market, holding 3.3 trillion yuan worth of Chinese bonds.

Characteristics of China’s financial system

- High Savings Rate and Deposit Dependency:
  - Savings rate: China has historically had one of the highest savings rates in the world. As of 2019, the gross national savings rate was approximately 44% of GDP. The global average was around 25% in the same period.
  - Household savings rate: Chinese households tend to save a large portion of their income. In 2019, the household savings rate was estimated to be around 36% of disposable income. In most developed countries, it's often below 10%.
  - Deposit funding remains a primary source of financing for banks. Total deposits in the banking system amounted to approximately 200 trillion yuan (about 31 trillion US dollars) as of recent data.
  - Large pool of domestic capital available for investment

Characteristics of China’s financial system

- Banking sector plays a large and crucial role:
  - China's economy is mainly financed by bank loans.
  - Banks account for about 80-90% of financial intermediation in China.
  - The balance of RMB loans in 2022 accounted for about 190% of China's nominal GDP in 2022.
  - Total assets of China’s banking sector exceed 330% of GDP in 2023, this is significantly higher than in many other major economies.
  - The presence of not yet very developed bond market does not allow companies to diversify their sources of research funding.

Characteristics of China’s financial system

- Large Shadow Banking Sector:
  - China operates a dual-track financial system, where alongside the traditional banking sector (dominated by state-owned banks), there is a growing presence of non-bank financial institutions (NBFIs) such as trust companies, securities firms, and insurance companies. This dual system aims to provide different channels for capital allocation and financial services.
  - Shadow banking includes activities such as trust companies, wealth management products, and peer-to-peer lending. The size of China's shadow banking sector has been substantial. Estimates suggest the shadow banking sector could be around 50% of GDP, but this figure can vary.
  - Significant informal lending and financial activities outside the traditional banking system poses challenges for regulation and risk management.

Characteristics of China’s financial system

- State Dominance and Control:
  - The financial sector in China is heavily influenced by the state. Key financial institutions, including major banks and insurance companies, are state-owned or have significant state ownership. The government plays a central role in shaping policies, regulations, and the overall direction of the financial system.
  - High degree of state ownership and control in financial institutions
  - Policy-driven lending and investment decisions
  - Active intervention in markets and interest rate regulation
  - Use of the financial system to achieve broader economic development goals
  - Preferential treatment of state-owned enterprises in accessing finance

Characteristics of China's financial system

- Capital Controls and Managed Exchange Rate:
  - Controlled Capital Flows: China maintains strict controls over capital flows into and out of the country, including regulations on foreign exchange transactions and limits on overseas investments by domestic entities.
  - Managed Exchange Rate: The Chinese government actively manages the exchange rate of the Renminbi (RMB), aiming for stability and gradual internationalization while supporting export competitiveness.
  - Despite controls, China has been gradually liberalizing its financial markets, allowing greater foreign participation in its domestic markets, particularly through initiatives like the Shanghai-Hong Kong Stock Connect and Bond Connect programs.

Characteristics of China's financial system

- Emerging capital markets
  - China has established stock exchanges, the bond market is also expanding. However, these markets are tightly regulated, with government policies influencing their development and operations.
  - Underdeveloped capital markets:
    - Stock markets are relatively young and volatile
    - Bond markets are growing but still less developed than in advanced economies
  - Underdeveloped institutional investor base:
    - Pension funds, insurance companies, and mutual funds are growing but still relatively small
  - The gradual introduction of more sophisticated financial products and instruments

Characteristics of China’s financial system

- Regulatory fragmentation:
    - Multiple regulatory bodies overseeing different segments of the financial industry.
        - China Banking and Insurance Regulatory Commission (CBIRC); China Securities Regulatory Commission (CSRC); People's Bank of China (PBOC);State Administration of Foreign Exchange.
    - Regulatory fragmentation results in overlapping jurisdictions or gaps in oversight.
        - For example, certain financial products or activities might fall under the jurisdiction of multiple regulators, leading to confusion or regulatory arbitrage. On the other hand, some areas of financial activities may be less regulated due to unclear jurisdictional boundaries.
    - Inconsistent oversight may allow risks to accumulate unnoticed in certain sectors, potentially leading to systemic issues or crises.
        - For instance, the rise of shadow banking activities in China was partly attributed to gaps and overlaps in regulatory oversight.

Characteristics of China’s financial system

- Pioneering Fintech Hub
    - China is a global leader in financial technology (fintech), particularly in mobile payments (e.g., Alipay, WeChat Pay) and digital financial services.
    - China leads globally in the adoption of digital currencies, including initiatives in central bank digital currency (CBDC).
    - Fintech innovations have transformed consumer finance, payment systems, and even regulatory approaches (e.g., digital currencies, blockchain technology).

Key challenges for China’s financial system

- Banks still serve as the primary channel for corporate financing with very limited ability to lay off risks outside the banking system.
  - Domestic stock market is growing
  - Domestic bond market remains underdeveloped
- Emerging universal banking trend poses increasing complexity for regulation
  - Universal banking refers to banks that offer a wide range of financial services beyond traditional banking activities, including investment banking, insurance, asset management, and other services.
  - As financial institutions expand their scope to include a broader range of services, it introduces complexities for regulatory oversight and supervision. It also increases challenges in managing risks across different sectors. For example, risks associated with commercial banking (like credit risk) may differ significantly from those in investment banking (like market risk).

Key challenges for China’s financial system

Financial Markets:

- Market Development and Deepening:
  - Developing a more mature and diversified capital market, to reduce reliance on bank financing.
  - Enhancing liquidity and efficiency in the stock markets to attract more domestic and international investors.
- Market Stability and Investor Protection:
  - Enhancing transparency in market operations and disclosures to build investor confidence.
  - Implementing measures to prevent market manipulation and speculative activities.
- Financial Inclusion and Access:
  - Ensuring equitable access to financial services for rural and urban areas.
  - Encouraging the participation of small and medium-sized enterprises (SMEs) in the capital markets.
- Integration and Globalization:
  - Managing integration with global financial markets.
  - Alignment with international standards to facilitate global market integration.
  - Promoting the internationalization of China's currency (RMB).

Key challenges for China’s financial system

Financial Institutions:

- Risk Management and Asset Quality:
  - Managing high levels of non-performing loans (NPLs) and improving asset quality, particularly among state-owned banks and in sectors with overcapacity.
  - Strengthening risk management practices, including stress testing and capital adequacy, to mitigate financial sector vulnerabilities, to improve asset quality and maintain financial stability.
  - Mitigating risks associated with shadow banking activities, including informal lending and off-balance-sheet transactions.
- Governance and Efficiency:
  - Reforming governance structures and improving operational efficiency within state-owned banks and enterprises.
  - Enhancing transparency, accountability, and performance management to align with market-driven principles.

Key challenges for China’s financial system

Financial Regulations:

- Regulatory Coordination and Oversight:
  - Enhancing coordination among regulatory agencies (CBIRC, CSRC, PBOC) to streamline regulations and ensure consistent enforcement, efficiency and effectiveness in supervision.
  - Strengthening regulatory frameworks to manage systemic risks from shadow banking activities and non-bank financial institutions.
  - Balancing regulatory agility with stability to support financial sector development and systemic risk management.
- Market Integrity and Investor Protection:
  - Improving transparency in financial markets, including disclosures, reporting standards, and market operations, to enhance investor confidence and market integrity.
  - Promoting investor education programs and initiatives to empower investors with knowledge about financial products, risks, and rights.
  - Strengthening regulatory measures to protect retail investors from fraudulent schemes, market manipulation, and unfair trading practices.

New Environment of China’s Financial Sector

- Mid-to-late stage of industrialization
  - China is in the mid-to-late stage of industrialization, financial institutions no longer need to fully perform policy financial functions.
- Liberalization and global competition:
  - China's financial sector has been liberalizing, and financial institutions will face competition on a global scale.
- Internationalization of the Renminbi (RMB):
  - China continues to promote the international use of RMB. Efforts include expanding the use of RMB in cross-border trade and investment, increasing RMB-denominated financial products, and enhancing cooperation with global financial centers to establish offshore RMB hubs.

New Environment of China’s Financial Sector

- Belt and Road Initiative (BRI) Financing:
  - China's Belt and Road Initiative (BRI) has driven significant investment in infrastructure projects across Asia, Africa, and Europe. This has spurred demand for project financing, trade finance, and cross-border investment opportunities, contributing to the internationalization of China's financial sector.
- Green Finance and Sustainable Development:
  - China has placed increasing emphasis on green finance and sustainable development. Initiatives include promoting green bonds, integrating environmental, social, and governance (ESG) factors into investment decisions, and supporting the transition to a low-carbon economy.

Has China's financial sector entirely liberalized?

No! China's financial sector has not entirely liberalized. It remains heavily influenced by state-owned enterprises and government policies.

- 1. Interest Rates: The government has partially liberalized interest rates, enabling banks to independently set deposit and lending rates, with some central bank oversight for economic stability.
- 2. Foreign Investment: Foreign banks and financial institutions can operate in China under ownership and service restrictions, with gradual opening and relaxed regulations.
- 3. Capital Account Controls: China maintains strict controls over its capital account to regulate capital flows and stabilize the economy.
- 4. State Influence: State-owned financial institutions maintain a dominant role, with significant government influence over monetary policy, regulations, and the financial sector's direction.
- 5. Market Access: Progress has been made in opening stock and bond markets to foreign investors, but restrictions on ownership and market access persist across various financial sectors.

Outlook of China's Financial Sector

- Continued Reform and Opening Up:
  - China is likely to continue its financial reform agenda, aiming to further open up its financial markets to foreign investment, enhance regulatory frameworks, and improve market transparency. These reforms could increase market efficiency, and strengthen China's position in the global financial system.
- Capital Market Development:
  - China's efforts to develop its capital markets, including the bond market and equity markets, are likely to deepen. This could provide alternative funding sources for businesses, reduce reliance on bank loans, and attract more institutional investors both domestically and internationally.
- Fintech and Digital Transformation:
  - The rapid growth of fintech and digital finance in China is expected to continue, driven by innovations in mobile payments, digital banking, and blockchain technology. This trend will likely lead to further integration of technology and finance (TechFin), improving financial inclusion and efficiency.